Distributor Agreement

Ashland Climate and Hartwell Supply Co., dated December 9, 2022

1. Appointment

Ashland Climate (the Supplier) appoints Hartwell Supply Co. (the Distributor) as a non-exclusive authorized distributor of the Products in Ohio, Indiana, Kentucky, Michigan and western Pennsylvania.

2. Term

This Agreement runs from January 1, 2023 to December 31, 2023 and renews for successive one-year terms unless either party gives ninety (90) days' written notice.

3. Warranty

Products are warranted against defects in materials and workmanship for the periods stated in the Supplier's published limited warranty. Distributor shall not extend any warranty on the Supplier's behalf.

4. Insurance

Each party shall maintain commercial general liability insurance of not less than $2,000,000 per occurrence and shall provide certificates on request.

5. Confidentiality

The terms of this Agreement, including all pricing and program terms, are confidential and shall not be disclosed except to a party's professional advisers.

6. Governing law

This Agreement is governed by the laws of the State of Ohio, without regard to its conflict-of-laws rules.

Exhibit B: Distributor Incentive Program, 2023

1. Eligible Purchases means net invoiced purchases of Equipment (condensers, furnaces, air handlers, heat pumps and packaged units), less returns and credits, excluding freight, taxes and parts.

2. Volume rebate. The rebate rate for the highest tier achieved shall apply to all Eligible Purchases in the Program Year, from the first dollar.

Annual eligible purchases	Rebate
$18,000,000 or more	1.00%
$26,000,000 or more	1.75%

$37,000,000 or more	2.25%

3. Payment. Rebates are paid by credit memo within seventy-five (75) days after the end of the Program Year.

4. Cooperative advertising. The Distributor accrues co-op funds at 1.0% of Eligible Purchases. The Supplier reimburses fifty percent (50%) of the cost of approved activities (dealer training, trade shows, co-branded advertising, displays). Claims must be submitted with proof of performance by April 30 following the Program Year; unclaimed funds expire.

5. Freight. Orders of $5,000 or more ship freight prepaid to any Distributor location. Smaller orders ship freight collect.

6. Prior programs. The 2021 Heat Pump Accelerator (Exhibit C to the 2021 agreement) expired on December 31, 2021 and does not apply.